

Employing in the Czech Republic

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Czech Labour Code
- **Monthly payroll** — salary payments in CZK, itemised payslips
- **Tax withholding** — progressive income tax withheld and remitted monthly
- **Social & health insurance** — the full employer contribution stack, now filed via the new unified JMHZ monthly report
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 3 months (6 months for managerial roles)	Labour Code
Unified monthly reporting (JMHZ)	New single social security filing system, launched 2026 (transition through Q1 2026)	2026 administrative reform
Standard hours	8 hrs/day, 40 hrs/week	Labour Code

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	CZK 22,400/month (CZK 134.40/hour)	Effective 1 January 2026, up from CZK 20,800; set by formula (43.4% of average wage), roadmap to 47% by 2029
Employer social insurance	24.8% of gross salary	Capped at CZK 2,350,416/year (48× average wage)
Employer health insurance	9% of gross salary	No cap
Total employer contribution	33.8% of gross salary	Among the most predictable in Europe — no mandatory 13th salary or severance fund on top

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 4 weeks/year (20 days)	Employer	Labour Code minimum; many employers offer 25 days
Sick Leave	Employer pays days 1-14, sickness insurance thereafter	Employer (days 1-14) + sickness insurance	Reduced-rate employer contribution (19.8%) available if employer opts to cover more sick pay
Maternity Leave	28 weeks (37 for multiple births)	Sickness insurance (peněžitá pomoc v mateřství)	Requires 270 days of insurance in the 2 years before birth
Parental Leave	Up to 3 years, job-protected	State parental allowance (rodičovský příspěvek)	Can be drawn flexibly by either parent

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer social insurance (24.8%)	\$744.00	24.80%
Employer health insurance (9%)	\$270.00	9.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,614.00	~153.8%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Social insurance is capped at 48× the average annual wage (CZK 2,350,416 for 2026) — high earners see this contribution stop accruing above that level, while health insurance has no cap. Employee deductions (withheld separately) include social insurance (6.5%), health insurance (4.5%) and progressive income tax.

Income Tax (2026)

Annual Income (CZK)	Rate
Up to 1,762,812 (36× average wage)	15%
Above 1,762,812	23%

Basic taxpayer relief (sleva na poplatníka) of CZK 30,840/year reduces the tax due directly.

Termination & Separation

Notice is generally 2 months for both employer and employee, running from the first day of the month following delivery of notice. Statutory severance applies for redundancy/organisational reasons, typically 1–3 months' average earnings depending on length of service (higher for health-related dismissals), governed by the Labour Code.

★ **HERO TIP**

The Czech Republic's new unified monthly employer reporting system (JMHZ), launched in 2026, consolidates several previously separate social security filings into a single submission — confirm your HeroForce EOR's systems are fully aligned with this change, since a provider still running the old multi-filing process risks compliance gaps during the transition period.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day / Restoration Day	National
3 April	Good Friday	National
6 April	Easter Monday	National
1 May	Labour Day	National
8 May	Liberation Day	National
5 July	Saints Cyril and Methodius Day	National
6 July	Jan Hus Day	National
28 September	Czech Statehood Day	National
28 October	Independent Czechoslovak State Day	National
17 November	Freedom and Democracy Day	National
24–26 December	Christmas Eve, Christmas Day, St. Stephen's Day	National

Ready to hire in the Czech Republic?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Czech Republic employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).